

PUBLIC SUBMISSION

As of: March 21, 2025
Received: March 14, 2025
Status: [REDACTED]
Tracking No. m89-23zq-o686
Comments Due: March 15, 2025
Submission Type: API

Docket: NSF_FRDOC_0001
Recently Posted NSF Rules and Notices.

Comment On: NSF_FRDOC_0001-3479
Request for Information: Development of an Artificial Intelligence Action Plan

Document: NSF_FRDOC_0001-DRAFT-1385
Comment on FR Doc # 2025-02305

Submitter Information

Email: [REDACTED]
Government Agency Type: Foreign
Government Agency: American Chamber of Commerce in Portugal - AmCham Portugal

General Comment

See attached file(s)

Attachments

AmCham Comment on OSTP RFI (vSkeleton) (SC edits Mar 14)



Lisbon, 14th March 2025

American Chamber of Commerce in Portugal’s Comments on the Request for Information on the Development of an Artificial Intelligence (AI) Action Plan

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I. Executive Summary

The American Chamber of Commerce in Portugal appreciates the opportunity to provide its comments in response to the Request for Information on the Development of an Artificial Intelligence (AI) Action Plan issued by the Networking and Information Technology Research and Development (NITRD) National Coordination Office (NCO) on behalf of the Office of Science and Technology Policy (OSTP), regarding priority actions that should be included in that AI Action Plan.

The American Chamber of Commerce in Portugal (“AmCham Portugal”) is the largest bilateral business association between Portugal and the United States,¹ and its mission is to develop and facilitate economic and commercial relations between the two countries on a basis of mutual interest. Amongst its focus areas are “Technology and Innovation” and an “A.I., Data and Cybersecurity”.²

AmCham Portugal supports the United States’ efforts and endeavours to safeguard national security interests and U.S. technology leadership, particularly in the AI sector. However, AmCham Portugal is concerned by the classification of Portugal as a Tier 2 country under current the Framework for Artificial Intelligence Diffusion (AI Diffusion Rule),³ published by the U.S. Department of Commerce’s Bureau of Industry and Security (BIS) at the end of the prior administration, as it may significantly harm the ability of U.S. Technology and Data Center Companies (many of which are AmCham Portugal’s members) to export technology services and advanced compute to Portugal, and hence prevent the diffusion of U.S. AI globally.

¹ Source: <https://amchamportugal.pt/en/sobre-amcham/>

² Source: <https://amchamportugal.pt/en/welcome/>

³ Framework for Artificial Intelligence Diffusion, 90 Fed. Reg. 4544 (Jan. 15, 2025).

Leaving Portugal out of Tier 1 will impede U.S. investments in the country, particularly in digital services and the associated digital infrastructure, and hence AmCham Portugal’s ability to foster a conducive environment for U.S. businesses in Portugal. Such designation will limit opportunities for innovation, partnerships and investments in critical digital sectors, and hence **weaken U.S. influence in key global markets, including in Portugal.**

AmCham also believes that the designation of Portugal as a Tier 2 country is unjustified, considering that the country provides strong safeguards against threats from “malicious actors”⁴ that could be seeking to “engage in activities that pose profound risks to U.S. national security and foreign policy.”⁵

Our comments outline:

1. The economic and strategic disadvantages of Portugal’s Tier 2 classification under the AI Diffusion Rule.
2. The potential harm to U.S. companies and Portugal’s role as a secure and AI-friendly hub for U.S. firms.
3. The urgent need for Portugal’s reclassification to Tier 1 to align with its NATO and EU allies, ensuring AI innovation and investment remain unimpeded.

AmCham Portugal urges U.S. policymakers to reassess Portugal’s classification, recognizing its strategic importance and commitment to AI development, while ensuring the continued expansion of U.S. technological leadership in Europe.

II. Background

A. Introduction to Amcham Portugal

Established in 1951, AmCham Portugal is a private, independent and non-profit business association whose main objective is to develop and facilitate economic and commercial relations between Portugal and the USA, on a basis of mutual interest.

With 74 years of existence and approximately 270 members⁶, it is the largest bilateral business association between Portugal and the U.S.

AmCham⁷ supports American companies based in Portugal and Portuguese companies looking to expand into the American market. It acts as a connecting hub for businesses of various sizes, sectors, and markets, creating a strong network of business opportunities, information, and strategic support.

⁴ Source: <https://www.federalregister.gov/documents/2025/01/15/2025-00636/framework-for-artificial-intelligence-diffusion>

⁵ Id.

⁶ Source: <https://amchamportugal.pt/en/lista-de-socios/>

⁷ Source : <https://amchamportugal.pt/en/welcome/>

Through its activities, AmCham prioritizes knowledge-sharing, idea exchange, and experience-sharing, while also committing to fostering a favourable business environment that promotes investment, competitiveness, entrepreneurship, innovation, and job creation.

AmCham Portugal positions itself as the leading organization for strengthening ties, mutual understanding, and collaboration between Portugal and the U.S., contributing to the promotion of competitiveness, productivity, and internationalization of the economy and businesses by encouraging investment and trade between the two countries.

Additionally, AmCham promotes the exchange of knowledge, technology, innovation, talent, and best business practices within an entrepreneurial and innovation-driven culture. Notably, AmCham Portugal's members include major U.S. Technology companies, all of which have a well-established presence in Portugal. Their interests are primarily addressed through two specialized committees, including a "Technology and innovation" committee and an "A.I., Data and Cybersecurity" committee.

III. Comment 1: Restricted AI Infrastructure Deployment and Economic Losses

The AI Diffusion Rule's Tier 2 classification of Portugal directly contradicts U.S. strategic and economic objectives in Europe. By limiting Portugal's access to advanced AI technologies, the U.S. risks weakening its own companies' ability to expand in a secure and AI-friendly jurisdiction. Most major U.S. Technology Companies, and members of AmCham Portugal, have significant presences in Portugal and provide services and products in the country. In addition, all major AI data center operations in Portugal are U.S.-owned or controlled, yet the current restrictions prevent these companies from scaling their infrastructure to meet global AI demand.

Portugal plays a critical role in U.S. data security, acting as a key node in U.S.-led subsea cable networks, including the Google *Nuvem* cable linking South Carolina via the Azores. This direct and secure connection not only provides the U.S. industry with a much more geographically secure location from potential subsea cable interference, but this geographic security is also supported by Portugal's commitment to ensuring the security of subsea cable networks. Ensuring continued AI infrastructure expansion in Portugal directly benefits U.S. data security and redundancy efforts, enhancing the resilience of transatlantic digital communications. Additionally, Portugal's geopolitical alignment as a founding NATO member, a host to key U.S. military installations, and one of the most stable and reliable U.S. allies in Europe underscores the inconsistency of placing the country in Tier 2. By imposing undue restrictions on Portugal's AI sector, the U.S. is inadvertently limiting its own strategic influence in the region.

IV. Comment 2: Tier 2 Classification Threatens U.S. Investment and AI Competitiveness

The restrictions imposed by the Tier 2 classification place over \$50 billion in projected U.S. investment in digital infrastructure in Portugal at risk, primarily from American companies looking to expand AI-driven digital infrastructure, including data centers, in Europe. This includes approximately \$12 billion applied to the development of infrastructure and an estimated \$40 billion

in compute investment needed to fully utilize the 1,500 MW AI capacity already planned and largely secured in the country.

Beyond direct investment, the Tier 2 designation diminishes Portugal's viability as a strategic hub for U.S. technology firms, diverting investment to Tier 1 European countries with fewer restrictions. As a result, American companies that already have or would otherwise establish AI operations in Portugal may be forced to shift expansion elsewhere, potentially undermining U.S. technology leadership in Europe but most definitely in Portugal, where U.S. Technology and Data Center companies are already well invested. The restrictions further disrupt supply chains, including inhibiting U.S. supply chains and U.S. job creation, increasing costs for U.S. firms to operate and limiting access to advance compute.

By maintaining Portugal in Tier 2, the U.S. is curbing its own ability to foster a strong AI ecosystem within a trusted NATO ally, Wassenaar founding member.⁸ Portugal is also a long-standing member of the Missile Technology Control Regime (MTCR), the Nuclear Suppliers Group (NSG), and the Australia Group (AG).⁹ Moreover, Portugal's dual-use regulations are largely in line with those of the United States: Regulation (EU) 2021/821 sets out the EU's export control framework, and, similar to the controls implemented by the U.S. and other European Tier 1 countries, it mandates authorization for the export of specific dual-use items.¹⁰ Given Portugal's stability, commitment to data security, and business-friendly environment, this policy choice appears unjustified and unnecessarily hampers U.S. technological leadership in Europe, including in Portugal.

V. Comment 3: Restricting Portugal Weakens U.S. AI Leadership in Europe

Portugal's Tier 2 classification limits U.S. companies' ability to leverage a key AI-driven market, ultimately weakening U.S. leadership in AI infrastructure deployment across Europe. Portugal offers a strategic advantage due to its access to renewable energy, a strong cybersecurity and compliance framework, and its emerging role as a hub for AI and data processing. Its energy market provides abundant, cost-competitive renewable energy, making it an ideal location for U.S. technology firms seeking sustainable AI operations. Portugal also ranks at par or above top-tier nations in cybersecurity and data protection, ensuring a safe environment for U.S. AI investments.

With a planned data center capacity that could meet up to 10 percent of Europe's demand by 2028, Portugal is poised to become a key enabler for advanced AI clusters of U.S. Technology Companies. However, maintaining the country in Tier 2 undermines this potential, restricting U.S. companies from fully leveraging Portugal's growing AI infrastructure. This places the U.S. at a

⁸ Wassenaar Arrangement, Public Documents Vol. I: Founding Documents (Dec. 2021), <https://www.wassenaar.org/app/uploads/2021/12/Public-Docs-Vol-I-Founding-Documents.pdf>.

⁹ Missile Technology Control Regime, Partners, <https://www.mtc.info/en/partners>; Nuclear Suppliers Group, Participants, <https://www.nuclearsuppliersgroup.org/index.php/en/about/participants>; Department of Foreign Affairs and Trade, The Australia Group – Participants, <https://www.dfat.gov.au/publications/minisite/theaustraliagroupnet/site/en/participants.html>.

¹⁰ EUR-Lex, Regulation (EU) 2021/821 of the European Parliament and of the Council of 20 May 2021 (last visited Feb. 2025), <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A02021R0821-20241108>.

disadvantage by forcing companies to seek alternative, potentially less strategic locations for their AI deployments.

The U.S. has a vested interest in fostering AI-friendly environments within stable, geopolitically aligned countries, and Portugal meets all these criteria. Restricting its AI development under the Tier 2 classification is a short-sighted policy that could weaken U.S. leadership in the European AI market, reduce its ability to shape the global AI landscape and potentially affect its competitiveness in science, technology, engineering and manufacturing.

VI. Conclusion

Amcham Portugal urges U.S. policymakers to reclassify Portugal as Tier 1 under the AI Diffusion Rule, in line with other EU Member States, and align the tiering with the Trump Administration's foreign policy and national security objectives. The current Tier 2 classification undermines U.S. strategic interests, diverts key U.S. AI investments to potentially less secure markets, and weakens U.S. leadership in the AI sector. Portugal's alignment with U.S. security priorities, its critical role in transatlantic data infrastructure, and its potential as a European AI hub make its inclusion in Tier 1 not only a logical step but a necessary one.

Failure to adjust Portugal's classification risks significant economic and strategic losses for the U.S., including diminished export opportunities by affecting U.S. supply chains and U.S. job creation, a weaker presence in Europe's AI ecosystem, and reduced influence over AI governance in a geopolitically significant region. Reclassifying Portugal to Tier 1 will strengthen U.S.-Portugal relations, safeguard U.S. technology investments, and ensure the continued expansion of U.S. AI leadership in Europe.

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